

What Happens Inside a Hybrid Long-Short Investment Strategy



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One of the more practical questions around any investment strategy is - how it actually behaves when markets move sharply in either direction. For most traditional mutual funds, a rising market works well but a falling one simply results in losses. The hybrid long-short strategy is built to handle both situations differently, and understanding how it does that requires looking at the mechanics behind the approach.

The starting point is asset allocation. Research has consistently shown that the decision of how to split a portfolio between equities and debt accounts for over 91% of portfolio performance over time. Stock picking and market timing, while important, contribute far

less than most people assume. A hybrid long-short strategy leans heavily on this insight. Rather than staying fixed in one asset class, it shifts its allocation between equity and debt based on where markets are in their valuation cycle.

The way this shift works in practice is linked to how expensive or cheap the equity market appears at any given time. When equities look undervalued, the strategy increases its equity exposure significantly, going up to 65-75% in its net equity allocation. When markets are in a range-bound phase with moderate valuations, the equity allocation comes down and a larger portion of the portfolio is deployed through derivatives. When markets look clearly overvalued, equity exposure drops sharply and derivative positions can account for the bulk of the portfolio. This buy-low, sell-high discipline is built into the process rather than left to guesswork.

Derivatives play a meaningful role here and they serve more than one purpose. On one side, they are used for hedging, which means protecting the portfolio from sharp downside moves. On the other, they are used as directional tools, allowing the strategy to take a position on where markets are headed without necessarily buying or selling the underlying stocks. Within derivatives, tools like covered calls generate additional income on existing stock positions. A covered call involves selling a call option on the stock at a fixed price in exchange for a premium. The premium received provides a partial

cushion if the stock falls. Put options, on the other hand, allow the strategy to benefit when a stock declines, which is part of the short side of the approach.

Stock selection in the equity portion follows a bottom-up process, meaning each company is evaluated on its own merits rather than simply following index weights. The criteria focus on companies that are potential market leaders in their sectors, have strong or improving balance sheets with low debt, operate with a cost advantage that is hard for competitors to replicate, and show high earnings visibility across different market conditions. Valuations relative to peers are also considered, ensuring the strategy is not overpaying even for quality businesses.

Beyond stocks and derivatives, the strategy also participates in capital market events such as IPOs, share buybacks, and block deals. On the debt side, it invests in carry-oriented instruments like corporate bonds, commercial papers, and certificates of deposit. These fixed income positions provide stability and income during periods when equity exposure is reduced.

Taken together, what makes this approach is the active reconfiguration of the portfolio based on market signals. It is not a static mix. The allocation between equity, debt, and derivatives keeps changing, which is what allows the strategy to aim for more consistent outcomes across varying market conditions.